

Indian Oil Corporation Ltd. v. State of U.P. & 3 Others

WRIT - C No. 31555 of 2022 | Neutral Citation 2024:AHC:8729-DB | High Court of Judicature at Allahabad (Division Bench) | Reserved
29.11.2023, delivered 18.01.2024

COURT	High Court of Judicature at Allahabad (Division Bench)
CORAM	Hon’ble Mr. Justice Mahesh Chandra Tripathi & Hon’ble Mr. Justice Prashant Kumar (judgment delivered by Prashant Kumar, J.)
DATE OF JUDGMENT	18 January 2024 (reserved 29.11.2023; A.F.R.)
NATURE OF PROCEEDING	Writ petition under Article 226 of the Constitution challenging a demand-cum-disconnection notice dated 1.10.2022 and a bill dated 3.10.2022 for ‘parallel operating’ (minimum-guarantee) charges, and seeking mandamus to decide the petitioner’s representation and to refund charges paid 2001–2007
PARTIES	Indian Oil Corporation Ltd. (Mathura Refinery) — public-sector undertaking / consumer (petitioner) v. State of U.P.; U.P. Power Corporation Ltd. (UPPCL); Dakshinanchal Vidyut Vitran Nigam Ltd. (DVVNL) — distribution licensees (respondents 3 & 4)
PROVISIONS	Clause 4.26 (esp. 4.26(e)) and Clause 56(2), U.P. Electricity Supply Code, 2005; Sections 2(47), 9, 42(4), 50, 52 & 56(2), Electricity Act, 2003; Sections 49 & 79, Electricity (Supply) Act, 1948; Clauses 5, 8(b) & 19 of the Principal Agreement dated 30.11.1999; Article 226, Constitution of India
RESULT	Writ petition allowed. The demand notice dated 1.10.2022 and the bill dated 3.10.2022 for parallel-operating charges (with interest) for January 2008 to 30.11.2018 are quashed. No refund of the charges already paid up to 2007 (barred by the petitioner’s own acquiescence).

POINT FOR DETERMINATION

- Whether the petitioner is bound to pay the minimum-guarantee (parallel-operating) charges under Clause 4.26 of the U.P. Electricity Supply Code, 2005 read with Clause 5 of the Principal Agreement.
- Whether respondent no.3 can continue charging for a service (the “Parallel Operating System”) which it had itself discontinued with effect from September 2007.
- Whether a company/corporation can keep charging for a facility no longer needed by the consumer, after the consumer has specifically asked it to stop/discontinue the facility.
- Whether respondent no.3 can take advantage of its own procrastination and continue charging while not amending the agreement, which the petitioner had continuously been asking for.

FACTS

IOCL’s Mathura refinery held a captive power plant but, unable to generate enough energy, executed a ‘Principal Agreement’ with UPPCL on 30.11.1999 for a “Parallel Operating System” (grid synchronisation). Under Clause 5, IOCL paid a monthly minimum-consumption-guarantee-linked charge of Rs. 22,05,900. After augmenting its captive plant in 2001, IOCL no longer needed the

facility and, from a letter dated 3.8.2001 onward, repeatedly — over some seventeen years — requested UPPCL/DVVNL to discontinue the facility, stop charging, and delete Clause 5 from the agreement.

The physical facility was disconnected by the licensee’s own actions by 28.9.2007 — the 11 KV HT cable was removed and the grid incomer panel was sealed and delinked from the refinery generation bus (admitted in the licensee’s letters of 6.5.2006, 14.2.2007, 28.9.2007 and 31.12.2007). Despite this, the licensee kept billing the parallel-operating charge and refused to amend the agreement, insisting the whole system be physically removed from the premises. A supplementary agreement deleting Clause 5 was executed only on 19.12.2018.

The demand escalated over successive notices: Rs. 21,12,29,268 (19.2.2013, for Jan 2008–Dec 2012); a bill-cum-disconnection notice on 4.12.2020; then a demand of Rs. 2,46,50,33,498 on 1.10.2022 and a bill of Rs. 2,51,43,34,167.96 (parallel-operating charges plus interest and one month’s late-payment surcharge) on 3.10.2022. IOCL had paid the charges up to December 2007 without demur and stopped from January 2008. It challenged the 2022 demand and bill, pleading limitation under Section 56(2), the open-access regime, and the licensee’s own delay.

THIS COURT’S REASONING & HOLDING

HEADNOTE

A distribution licensee cannot invoke Clause 4.26(e) of the U.P. Electricity Supply Code, 2005 (which continues parallel-operating charges “till the termination of the agreement”) to keep billing indefinitely for a facility it has *itself* physically disconnected, where the delay in terminating or amending the agreement is attributable to the licensee. No one may take advantage of his own wrong (*commodum ex injuria sua nemo habere debet*); once the parallel-operating service was disconnected in September 2007, no charge could be levied for it thereafter, notwithstanding the un-amended agreement. Acquiescence, however, cuts both ways: it bars the consumer’s claim to refund charges it paid up to 2007 without demur.

Clause 4.26(e) preserves the charge only till termination — it is not a licence to charge indefinitely. Clause 4.26(e), read with Clause 5 of the Principal Agreement, obliges a consumer with a pre-existing agreement to pay parallel-operating charges “till the termination of the agreement”. But it does not entitle the licensee to keep charging for an indefinite period when the consumer has asked it to withdraw the facility and amend the agreement. The licensee cannot hide its own inaction and inefficiency under the cover of Clause 4.26, nor take advantage of its own delay in terminating or amending the agreement. ¶ 16–17, 38–40, 50

No charge can be levied for a service the licensee itself disconnected. The licensee’s own communications establish that the HT cable was disconnected and the parallel-operating service was no longer provided from 28.9.2007. Having disconnected the service, the licensee cannot charge the consumer for a facility that is evidently not being provided; it ought to have disconnected the facility as soon as it was asked, and having done so (belatedly) in September 2007, it cannot bill for it thereafter. ¶ 41–45, 60

No one may take advantage of his own wrong (*commodum ex injuria sua nemo habere debet*). Where a party delays, procrastinates or fails to take a decision, the procedural prerequisite (here, amending the agreement) is deemed waived within a reasonable time of the consumer’s request. Applying *M.K. Shah Engineers, Mrutunjay Pani, Kusheshwar Prasad Singh, M.J. James* and *Nirmala Anand*, the authority cannot neglect what the law mandates and then profit from its own default. The licensee took 7 years to disconnect and a further 10 to amend the agreement — the delay being solely attributable to it — and so cannot bill the consumer for that self-created delay. ¶ 48–59

Acquiescence and limitation cut both ways. Because the consumer paid the charges up to 2007 without demur, acquiescence bars its claim to a refund of those amounts. Equally, the licensee — which merely raised bills while fully aware the facility was unused, and never took recourse under the Act to realise the outstanding demand — is met by the same law of acquiescence and by the limitation in Section 52. Under Section 56(2), a “sum due” means an amount adjudicated between the parties; here there was no adjudication, so the escalating post-2008 demands could not be sustained. ¶ 21–23, 47, 61–64

INTERPRETATION — SUPPLY CODE & ELECTRICITY ACT

U.P. ELECTRICITY SUPPLY CODE, 2005 & ELECTRICITY ACT, 2003

Clause 4.26(e), U.P. Electricity Supply Code, 2005 — ‘Parallel Operating’ charges under pre-existing agreements

Framed under Section 50 of the Electricity Act, 2003, Clause 4.26(e) continues the obligation to pay parallel-operating charges under an “old agreement” only “till the termination of the agreement”. It is a transitional preservation clause, not a source of an indefinite right to bill: a licensee that has disconnected the facility and delayed the consumer-sought termination/amendment cannot rely on 4.26(e) to charge for the intervening period. The clause is read subject to the maxim that no party may benefit from its own default. ¶ 16–17, 38–40, 50

Section 56(2), Electricity Act, 2003 — meaning of ‘sum due’

“Sum due” in the proviso to Section 56(2) means an amount already *adjudicated* between the parties. Absent adjudication, escalating demands raised years after the service ended are not recoverable, the two-year bar being attracted; the licensee also cannot cut off supply for such an amount. ¶ 21–23

Sections 9, 42(4) & 2(47), Electricity Act, 2003 — captive generation & open access (argument noted)

The petitioner argued, on *MSEDCL v. JSW Steel*, that a captive consumer has no obligation to pay additional surcharge under Section 42(4) even when not drawing from the licensee, and that the 2003 open-access regime (Section 2(47)) rendered the old agreement defunct. The Court *noted* these submissions but decided the case on the licensee’s own default rather than resting its ratio on the captive/open-access point. ¶ 18–19, 26–28

RATIO DECIDENDI

A distribution licensee cannot invoke Clause 4.26(e) of the U.P. Electricity Supply Code, 2005 to levy parallel-operating (minimum-guarantee) charges for a facility it has *itself disconnected*, for a period during which the agreement remained un-amended solely because of the licensee’s own delay. Once the service is disconnected, no charge is leviable for it thereafter; no party may take advantage of its own wrong. Acquiescence bars the consumer’s refund of charges paid without demur before disconnection.

ALSO HELD & OBITER

- **Acquiescence operates against the licensee too.** A licensee that silently raises bills while conscious that the facility is unused, and takes no statutory recourse to recover, is itself met by the law of acquiescence and by the limitation in Section 52. ¶ 61–63

DISPOSITION

Writ petition **allowed**. The demand notice dated 1.10.2022 and the bill dated 3.10.2022 are quashed. Any demand for the parallel-operating facility, and interest thereon, for the period January 2008 to 30.11.2018 is set aside. The petitioner’s prayer for refund of charges paid up to 2007 is refused on the ground of its own acquiescence.

SIGNIFICANCE

A Division-Bench statement of how a Supply Code transitional clause is confined, and how the “own wrong” maxim applies to a State distribution licensee. Four points stand out:

- **A Supply Code transitional clause cannot shelter licensee inaction.** Clause 4.26(e) preserves parallel-operating charges “till termination” but cannot be weaponised by a licensee that itself delays the termination/amendment the consumer has repeatedly sought.

- **Disconnection ends the charge, regardless of the paperwork.** Once the physical service is disconnected, billing must stop; an un-amended agreement does not entitle the licensee to charge for a facility it is not providing.
- **The ‘own wrong’ maxim applied to a distribution licensee.** The *commodum ex injuria* line of authority is applied to hold a State distribution utility to a reasonable time for acting on a consumer’s request, deeming the procedural step waived.
- **‘Sum due’ under Section 56(2) requires adjudication.** Escalating, un-adjudicated demands raised long after the service ended fall foul of the two-year bar in Section 56(2).

TABLE OF AUTHORITIES

Authorities discussed in the judgment, with the treatment each received. The core line establishes that no party may take advantage of its own wrong or default.

AUTHORITY	PROPOSITION & HOW TREATED	TREATMENT
<i>Maharashtra State Electricity Distribution Co. Ltd. v. JSW Steel Ltd. & Ors.</i> Supreme Court	Captive consumers have no obligation to pay additional surcharge under Section 42(4) even if not receiving electricity from the distribution licensee; the rights of a captive consumer are distinct, and levy of additional surcharge on a captive consumer would be discriminatory. Cited by the petitioner.	Relied on
<i>PTC India Ltd. v. Central Electricity Regulatory Commission</i> Supreme Court (Constitution Bench)	Statutory provisions and regulation, as part of the regulatory framework, intervene in and even override existing contracts between regulated entities, casting a statutory obligation to align existing and future contracts with the regulation. Cited by the petitioner.	Relied on
<i>M.K. Shah Engineers and Contractors v. State of M.P.</i> Supreme Court	No one can be permitted to take advantage of one’s own wrong; where a party by its own conduct disables a preceding procedural step, that step is deemed waived and the party at fault cannot set up its non-performance.	Followed
<i>Mrutunjay Pani v. Narmada Bala Sasmal</i> AIR 1961 SC 1353 · Supreme Court	<i>Commodum ex injuria sua nemo habere debet</i> — convenience cannot accrue to a party from his own wrong; no one can benefit from his own wrongful act.	Followed
<i>Kusheshwar Prasad Singh v. State of Bihar & Ors.</i> Supreme Court	An authority cannot neglect what the law mandates; default in discharge of a statutory duty cannot prejudice the citizen, and a wrongdoer ought not to be permitted to make a profit out of his own wrong.	Followed
<i>The Chairman, State Bank of India & Anr. v. M.J. James</i> Supreme Court	A court must examine whether a party has sat over a matter and woken up to gain advantage; delay, laches and prejudice must be factored and balanced, even where there is delay on the part of the authorities.	Relied on
<i>Dehri Rohtas Light Railway Co. Ltd. v. District Board, Bhojpur</i> Supreme Court	On delay/laches and a party sitting over the matter to gain advantage. Noticed within <i>M.J. James</i> .	Referred
<i>Nirmala Anand v. Advent Corporation (Pvt.) Ltd. & Ors.</i> Supreme Court	A party cannot take advantage of its own wrong; to do so would amount to taking unfair advantage.	Relied on
<i>Broom’s Legal Maxims (10th Edn.), p.191</i> Treatise	No man shall take advantage of his own wrong — a maxim recognised in courts of law and of equity.	Referred

This digest is a condensed reference prepared from the text of the judgment. It is not a substitute for the full judgment and should be verified against the original before use.